

HISTORY AND EVOLUTION OF BANKING IN NIGERIA 1ST SEMESTER

INTRODUCTION

P.S. Austin-Osagie

The history of banking in Nigeria which makes up the banking system in existence is traceable to the colonial administration. Before the coming of the colonial administration, there was no existing local banking system or any similar system to develop on it. This is because it was the advent of the colonialists that warranted increased importation of British silver coins to meet the growing trade relationship between England and West African coast. It was due to the increasing number of silver coins in large boxes in Lagos office of the initial sole shipping company, Elder Dempster & Co. that suggestions were made to establish a bank in Lagos. It was as a result of the interest of the British businessmen or colonial entrepreneurs that the Lagos agent of Elder Dempster & Co approached some banks in Britain to open branches in Lagos. This step gave rise to the opening of branches of banks in Lagos. The history of banking in Nigeria developed in phases. The initial phase was witnessed by expatriate banks which were solely owned by foreigners. The next was the establishment of banks by indigenous businessmen. After this, was the combination of both foreign and indigenous ownership of banks, and lastly is the era of trade liberalization where both foreigners and indigenes have the same freedom to establish banks either as foreigners alone or in combination with local investors.

The Period 1892-1852

This era was dominated basically by expatriate banks. The first attempt to establish a formal bank in Nigeria was the establishment of a branch of the African Banking Corporation (ABC) in 1892 in Lagos. The ABC was a South African based bank which came to Nigeria and took over business from the Elder Dempster Merchants, which hitherto had been carrying on quasi banking business before then. It was solely established to import and distribute new silver coins and a banker to the colonial government. The establishment of this bank or commencement of banking



business in Nigeria was not backed up by any formal legislation. The African banking Corporation was merely given administrative mandate by the colonial authorities to commence banking business. The bank's progress was dissatisfactory so it was sold to Elder Dempster & co. Ltd in 1893.

In the same year it was sold, ABC was reorganized as the Bank of British West Africa (BBWA). The BBWA was formally registered in London as a limited liability company in 1894 because there was no local legislation under which the bank could be incorporated. It commenced banking activities fully in Lagos in 1894 and absorbed the ABC operations in Nigeria. The bank grew steadily and opened another branch in Old Calabar in 1900. It was managed by Elder Dempster Merchants and supported by the colonial government. The BBWA later in 1957 changed its name to the Bank of West Africa, and to the Standard Bank of West Africa Limited and later again to the Standard Bank of Nigeria in 1965, before finally metamorphosing to the First Bank of Nigeria (FBN) in 1979 when the government of Nigeria increased local interests holding in foreign banks in the country.

Another bank by name "Anglo-African Bank Ltd" was established in 1899 which later became the Bank of Nigeria. The first branches of the bank were located in Calabar, Burutu and Lokoja and later in Jebba. Its activities regrettably were short-lived as its operations were absorbed by the Bank of British West Africa (BBWA) in 1912. So at the time of the amalgamation of the Southern and Northern protectorates into one entity- Nigeria in 1914, the Bank of British West Africa was undisputedly the only bank existing in Nigeria. The year 1916 witnessed the emergence of another bank known as the Colonial Bank with branches in Lagos and Zaria and later extended its branches to Port-Harcourt, Jos and Kano. The Colonial Bank constituted a very strong competitor to the Bank of British West Africa. The name of Colonial Bank was subsequently changed to Barclays Bank.

DCO (Dominion Colonial Overseas). It resisted all attempts of the Bank British West Africa to acquire it. As time went on other banks started emerging, such as the British and French Bank for commerce and Industry (later known as British and French Bank). In 1961 the Nigerian branches of the bank were named United Bank for Africa, which still exists up till now. Other expatriate Banks that entered Nigeria were Bank of America and later became Savana Bank of India later known as Allied Bank. Due to the banking consolidation exercise in 2005 some of these banks were merged or acquired by other banks and have ceased to exist.

Notwithstanding, within this period, Nigerians wanted to own and operate banks distinct from European ownership and control. Concerted efforts were made which resulted in the establishment of banks by Nigerians. The first of its kind was the Industrial and Commercial Bank which was apparently incorporated in England in 1914, but by 1929 it was wholly owned and managed by Africans. Unfortunately in 1930 the bank went into compulsory liquidation. Upon the demise of the first indigenous bank, the Nigerian Mercantile Bank came up in 1931 and wound up in 1936. Despite the problems of the earlier two banks, Nigerians did not lose hope in ensuring that they have an indigenous bank, hence the establishment of National Bank of Nigeria in 1933. The performance of the bank was impressive. But when it was unable to meet the requirements of the 1952 Banking Ordinance, the Western Region had to take over the ownership sometime in 1955. The National Bank of Nigeria became a successful competitor to the expatriate banks. Another indigenous bank that came into lime light was the African Continental Bank, which started operation in 1948. The bank's progress was said to be slow but steady. The bank was patronized by Eastern Region government and its agencies. In 1945, Agbonmagbe Bank was established as a private enterprise, which has similarly since 1969 been taken over by the Western State government, and renamed Wema bank, as it still remains till date. The Western Region patronized and owned shares

in the bank. It became strong and constituted a second indigenous challenger of the expatriate banks. Other small banks were founded after 1952 when the first Banking Ordinance regulating banking business in Nigeria was enacted but could not survive.

The Period 1952-1985 *through Independence*

The period 1952 through independence to the nineteen-eighties saw the establishment of many banks, but not without laid down regulations such as the 1952 Banking Ordinance, and the Banking Amendment Act. This era marked the beginning of banking regulation in Nigeria. This period also witnessed the establishment of specialized banks such as Development Banks and Merchant Banks, some of which include the Nigerian Industrial Development Bank (NIDB), the Nigerian Bank for Commerce and Industry (NBCI) and the Nigerian Agricultural and Credit Bank. The NIDB was established in 1964 through the reconstruction of the Investment Company of Nigeria Limited (ICON), which itself was incorporated in 1959 as an industrial development finance company. From 1961 witnessed the introduction of merchant banking with the establishment of Philips Hill Nigeria Limited, and the Nigeria Acceptances Limited (NAL), both of which later transformed through a merger into the Nigeria Acceptances Limited in 1969, and later to Merchant Bank Limited. And between 1973 and 1975, four Merchant banks were established which include International Merchant Bank Limited by First National Bank of Chicago, Continental Merchant Bank Limited by a merger of First National Bank of New York and Chase Manhattan Bank, ICON (Merchant Bankers) Limited, and Nigeria Merchant Bank PLC.¹⁰ In short, the period between 1959 and 1985 experienced consolidated growth in the banking sector. In 1970, there were a total of 14 commercial banks which rose to 29 in 1980.¹¹ In 2007, there were 24 capitalised commercial megabanks,¹² arising out of a season of series of mergers and acquisitions in the banking industry to restore public and investors' confidence and forestall a total collapse of the sector.

Summarily, the two chief contributory causes of failure are bad management and the apparent lack of accounting and banking experience, coupled with fraudulent practices by some directors and practitioners in the sector.

The Period 1986-Date

From 1986, there was massive expansion and structural changes in the banking sector that by 1991 there were no less than one hundred and twenty-one commercial and merchant banks in Nigeria. This was made up of sixty-six commercial and fifty-five merchant banks. Twenty new banks were licensed in 1991 alone, arising from the deregulation of the economy by the federal government, which brought an enhanced free-market enterprise and the liberalization of the banking licensing scheme. The deregulation of the economy and the proliferation of financial institution since 1986 are not without its attendant consequences, among which are that since 1996, there has been thinning-out of banking enterprise. There was distress in the sector owing several reasons such as mismanagement in the form of grants, cosmetic, desperate and technical; also bad loans and advances ranked very highly among the causes of distress; then ownership structure, i.e. owners direct intervention in the banks. In addition to this, we have inappropriate corporate governance, inadequate regulatory and supervisory capacity; asymmetric information; under capitalisation, among numerous others. These led to the crisis and erosion of public confidence, diminution of trust and of relationship commitment, which once betrayed, do not return easily.

Bank distress alone claimed the lives of twenty seven banks between 1994 and 2003. This has resulted in the loss of wealth, public confidence in the system and in more challenging monetary management. It is worthy of note that banks failure was not peculiar to the first era alone, but cuts across all other periods as well.

There were quite significant cases of failure, which is indeed more pronounced in the period 1986- 2003, which thus necessitated drastic regulatory measures to be taken in the succeeding years to stem the tide of failure which was on the high side and, to restore public confidence in the banking sector. Owing to the harvest of banks failure, the Nigerian Deposits Insurance Corporation (NDIC), was established by Decree 22 Of 1988, to insure deposit liabilities of licensed banks; provide financial and technical assistance to banks and contribute to the quest of a safe and sound banking environment in Nigeria. In essence, it was created to carry out the final mortality process of ailing banks whose licenses have been revoked by the Central Bank of Nigeria (CBN).

This period gave opportunities to both Nigerians and non-Nigerians to establish business enterprises under the relevant laws in Nigeria. The situation made so many banks to be established in Nigeria. Prior to 2005 there were about eighty-nine banks in Nigeria. Many of those banks were weak in share capital base which posed grave danger to the economy. Consequently, Central Bank of Nigeria (CBN) in late 2004 issued a directive ordering banks to increase their capital base (paid-up) to ₦25 billion (twenty-five billion Nigerian Naira) by December 2005 to consolidate banking business in Nigeria. This elicited vehement protests from the bankers, but the order was irreversible. And the result is that by 2006, there remained just twenty five banks in existence resulting from reorganizations, mergers and acquisitions; while 14 banks that could not merge or be acquired were deemed as distress banks and accordingly liquidated. Following the consolidation exercise, Nigeria Banks have become strong to compete internally and some of these banks now have branches in foreign countries.

Conclusion

The banking system as it now exist in Nigeria took its origin from the colonial

businessmen who were the first to make attempt at rendering what appeared to be banking services and eventually the formal establishment of banks in Lagos. It means that the banking system in Nigeria has no local root. It is an imported system.